

Bajaj Finance Ltd

BAJFINANCE | Financials

ROE	ROCE	OPM
18.8%	4.5%	29.3%
D/E Ratio	Interest Coverage	EPS
3.82	2689.2x	■233.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■54,972	■14,451
2023-03	■41,411	■11,508
2022-03	■31,641	■7,028
2021-03	■26,673	■4,420
2020-03	■26,374	■5,264

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Capital Intensive
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

■ Investment Concerns (Cons)

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility